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RV COLLEGE OF ENGINEERING®

Autonomous Institution affiliated to VTU

V Semester B. E. Examinations
DEPARTMENT OF INDUSTRIAL ENGINEERING AND MANAGEMENT
Principles of Management and Economics

Time: 03 Hours

Maximum Marks: 100

Instructions to candidates:

1. Answer all questions from Part A. Part A questions should be answered in first three pages of the answer book only.
2. Answer FIVE full questions from Part B. In Part B question number 2 is compulsory. Answer any one full question from 3&4 , 5&6, 7&8 and 9&10.

PART-A			
Q1	1.1	The power to hold workers accountable for their actions and to make decisions about the use of organizational resources is known as ____	(01)
	1.2	_____ was one of the first to recognize that organizations could be viewed from the perspective of individual and group behavior.	(01)
	1.3	Management Science came into existence in a _____ context	(01)
	1.4	In the behavioral management approach what is the primary focus of the manager is _____	(01)
	1.5	In a mechanistic organization, communication is mostly _____.	(01)
	1.6	_____ Structures include cross-hierarchical and cross-functional teams and a flat structure	(01)
	1.7	Grouping activities on the basis of customer flow is _____ departmentalization	(01)
	1.8	Procter & Gamble has separate departments for Tide, Pampers, Charmin, and Pringles. This is an example of departmentalization by _____	(01)
	1.9	In Maslow's hierarchy of needs, _____ is the highest level of need?	(01)
	1.10	The offering of employee health insurance addresses which of Maslow's needs?	(01)
	1.11	Individuals become leaders based on their _____.	(01)
	1.12	The ability to influence people through granting or withholding benefits that are of interest to them is called _____	(01)
	1.13	Mr. X is the only person in the company with expertise in the E-Commerce field. This source of power is called _____	(01)
	1.14	The demand for a good increases when the price of a substitute _____ and also increases when the price of a complement _____.	(01)
	1.15	The price elasticity of demand is 5.0 if a 10 percent increase in the price results in a ____ decrease in the quantity demanded.	(01)
	1.16	Adam Smith called price mechanism as _____	(01)
	1.17	An economy that interacts with other economies is known as _____	(01)
	1.18	_____ growth is the percentage increase in the real GDP	(01)
	1.19	The price elasticity of demand measures the _____ in quantity demanded due to a change in price.	(01)
	1.20	A shift in the supply curve to the right indicates an _____ in supply.	(01)

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PART-B

2	a	Discuss Hawthorne effect in today's workplace. How can managers apply these Concepts to improve work performance?	(08)
	b	Elaborate on the contributions of Henry Fayol to Management theory and justify the Relevance of this theory for today's organizations.	(08)

3	a	Though decentralization is a welcome idea for efficient administration of any organization, but it comes with its own drawbacks. Discuss	(08)
	b	In today's business environment, more than any preceding era, the only constant is change. Successful organizations effectively manage change, continuously adapting their bureaucracies, strategies, systems, products, and cultures to survive the shocks and prosper from the forces that decimate the competition. With this context Explain in detail the Strategic Management process.	(08)

OR

4	a	The Taj west End Hotel has divisions such as reception, outdoor catering, conference hall maintenance and sales. With a schematic representation, illustrate the type of organization structure with advantages and disadvantages.	(08)
	b	Describe the situations where the decision making can be Decentralized. Explain any two cases in detail.	(08)

5	a	Theory X follows lower order needs and Theory Y follows higher order needs. Elucidate using Maslow's hierarchy of needs theory.	(08)
	b	Discuss the findings of Ohio state studies in reference to this following quotation by Mahatma Gandhi "I suppose leadership at one time meant muscles; but today it means getting along with people".	(08)

OR

6	a	Explain the three key linkages in expectancy theory and their role in motivation, which affect a worker's level of performance with an example?	(08)
	b	Exhibit the relationship between task behavior and relationship behavior using Blake & Mouton's managerial grid.	(08)

7	a	Discuss the role of firms in the circular flow model. How do they interact with households? How does the financial sector contribute to the circular flow of income and expenditure	(08)
	b	Explain the relationship between elasticity and pricing strategies. How do firms use the concept of price elasticity to determine pricing policies in both competitive and monopolistic markets?	(08)

OR

8	a	Describe the income approach to measuring GDP. What are the different types of income included in this approach. Also Discuss the role of exports and imports in GDP calculations. How do they impact the overall GDP of a country?	(08)
	b	Describe the Keynesian cross model. Explain how it demonstrates the relationship between aggregate demand and national income. Discuss the concept of equilibrium output in this model and how government spending can influence equilibrium.	(08)

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9	a	Would you expect supply to play a more significant role in determining the price of a basic necessity like food or a luxury like perfume? Explain	(08)
	b	Illustrate the concept of a shortage and a surplus in a market. What are the implications of each for prices and quantities exchanged?	(08)

OR

10	a	Compare and contrast elastic, inelastic, and unitary price elasticity's of demand and supply. Provide examples for each.	(08)
	b	Will the firms in an oligopoly act more like a monopoly or more like competitors? Briefly explain	(08)

.....Q.P.Code (For office use only)

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Course Code: HS251TA	Course Title: Principles of Management and Economics
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PART-A

Q.No	1.1	1.2	1.3	1.4	1.5	1.6	1.7	1.8	1.9	1.10
B T	2	2	2	2	2	2	2	2	3	2
COs	4	1	2	2	2	3	4	4	4	5
Q No	1.11	1.12	1.13	1.14	1.15	1.16	1.17	1.18	1.19	1.20
B T	2	2	2	2	2	2	2	2	3	2
COs	5	3	2	2	2	3	4	4	4	5

PART-B

Question No		B T Levels	Cos addressed		Question No		BT Levels	Cos addressed
2	a	3	1		3	a	3	2
	b	2	1			b	3	2
	c					c		
	d					d		
4	a	2	2		5	a	3	3
	b	2	2			b	3	3
	c					c		
	d					d		
6	a	2	3		7	a	2	4
	b	3	3			b	3	4
	c					c		
	d					d		
8	a	3	4		9	a	3	5
	b	2	4			b	2	5
	c					c		
	d					d		
10	a	3	5		11	a		
	b	2	5			b		
	c					c		
	d					d		

Signature of Scrutinizer:

Signature of Chairperson:

Name:

Name:

MODEL QP

Course: Principles of Management and Economics

PART-A

Q1

1.1 The power to hold workers accountable for their actions and to make decisions about the use of organizational resources is known as **Authority**. (01)

1.2 Mary Parker Follett was one of the first to recognize that organizations could be viewed from the perspective of individual and group behavior. (01)

1.3 Management Science came into existence in a **military** context (specifically during WWII to solve complex logistical problems). (01)

1.4 In the behavioral management approach what is the primary focus of the manager is **human behavior / people**. (01)

1.5 In a mechanistic organization, communication is mostly **vertical** (top-down). (01)

1.6 Organic Structures include cross-hierarchical and cross-functional teams and a flat structure. (01)

1.7 Grouping activities on the basis of customer flow is **Process** departmentalization. (01)

1.8 Procter & Gamble has separate departments for Tide, Pampers, Charmin, and Pringles. This is an example of departmentalization by **Product**. (01)

1.9 In Maslow's hierarchy of needs, **Self-actualization** is the highest level of need? (01)

1.10 The offering of employee health insurance addresses which of Maslow's needs? **Safety needs**. (01)

1.11 Individuals become leaders based on their **influence** (or acceptance by followers). (01)

1.12 The ability to influence people through granting or withholding benefits that are of interest to them is called **Reward power**. (01)

1.13 Mr. X is the only person in the company with expertise in the E-Commerce field. This source of power is called **Expert power**. (01)

1.14 The demand for a good increases when the price of a substitute **increases** and also increases when the price of a complement **decreases**. (01)

1.15 The price elasticity of demand is 5.0 if a 10 percent increase in the price results in a **50 percent** decrease in the quantity demanded. (01)

1.16 Adam Smith called price mechanism as **the invisible hand**. (01)

1.17 An economy that interacts with other economies is known as **an open economy**. (01)

1.18 Economic growth is the percentage increase in the real GDP. (01)

1.19 The price elasticity of demand measures the **responsiveness** (or percentage change) in quantity demanded due to a change in price. (01)

1.20 A shift in the supply curve to the right indicates an **increase** in supply. (01)

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PART-B

2	A	Discuss Hawthorne effect in today's workplace. How can managers apply these concepts to improve work performance? The Hawthorne effect refers to the tendency of individuals to improve their performance when they feel observed or receive attention. Originating from studies in the 1920s and 1930s at the Hawthorne Works factory, researchers found that workers' productivity increased simply because they were being studied, not due to changes in their working conditions. Hawthorne Effect in Today's Workplace In today's work environment, the Hawthorne effect is still relevant, as employees may show improved performance when they feel acknowledged and valued by management. With digital tools, employee performance can be monitored in real time, and frequent attention from supervisors can lead to short-term improvements in work outcomes. However, the effect can fade if attention is inconsistent or perceived as inauthentic. How Managers Can Apply Hawthorne Effect Concepts to Improve Work Performance 1. Regular Feedback and Communication: By offering regular, constructive feedback, managers can create an environment where employees feel noticed and supported. This encourages employees to maintain high performance. 2. Recognition and Appreciation: Acknowledging employee efforts publicly or privately can boost morale and performance. Simple acts of recognition (like praising good work) make employees feel valued and motivated. 3. Engaged Leadership: Managers who interact regularly with their teams, show genuine interest in their work, and offer guidance promote a sense of importance among employees, improving productivity. 4. Creating a Positive Work Culture: A workplace where employees feel their	(08)
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	contributions are recognized will see higher levels of engagement and performance. Managers should focus on employee well-being, offering opportunities for growth and development. 5. Involvement in Decision-Making: Involving employees in decision-making processes gives them a sense of ownership, leading to higher engagement and productivity. By incorporating these strategies, managers can effectively leverage the Hawthorne effect to foster a more motivated, productive workforce.	
B	Elaborate on the contributions of Henry Fayol to Management theory and justify the relevance of this theory for today's organizations. Henri Fayol, a French mining engineer and management theorist, is widely regarded as one of the founding figures in modern management theory. His ideas and contributions laid the groundwork for systematic management principles and are still highly relevant in today's organizations. Fayol's major contribution to management theory is encapsulated in his 14 Principles of Management and the identification of five primary functions of management, which have shaped the way management is understood and practiced. Contributions of Henri Fayol to Management Theory Five Functions of Management: Fayol identified five primary functions that define the role of a manager, which are still central to managerial duties today: ○ Planning: Setting goals and developing a strategy to achieve them. ○ Organizing: Allocating resources and assigning tasks to achieve the objectives. ○ Commanding (Leading): Guiding and supervising employees to ensure they are aligned with the goals. ○ Coordinating: Ensuring that various departments and employees work harmoniously towards common objectives. ○ Controlling: Monitoring performance, comparing it with set goals, and making adjustments as needed. 14 Principles of Management: Fayol's 14 principles provide a framework for efficient management. These include: ○ Division of Work: Specialization increases efficiency. ○ Authority and Responsibility: Managers must have the authority to give orders and the responsibility to ensure they are followed. ○ Discipline: Clear rules and obedience are necessary for a functional organization. ○ Unity of Command: Employees should receive orders from only one superior. ○ Unity of Direction: Activities with the same objective should be directed by one manager using one plan. ○ Subordination of Individual Interests to General Interest: The organization's goals should take precedence over individual desires. ○ Remuneration: Fair compensation for work should be ensured. ○ Centralization: Decisions should be centralized or decentralized based on	(08)

- **Globalization and Complexity:** As organizations expand globally and become more complex, Fayol's structured approach to management becomes invaluable. His emphasis on **coordination** and **unity of direction** is essential for managing cross-border operations and diverse teams.

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		• Technological Advancements: Even with rapid technological changes, the fundamentals of Fayol's management theory provide a solid framework. Whether managing a traditional workforce or remote teams, principles like clear authority, discipline, and coordination are vital for maintaining productivity. • Crisis Management: In times of crisis, such as the COVID-19 pandemic, Fayol's emphasis on planning, organizing, and controlling is crucial for organizations to adapt, respond, and recover effectively. • In conclusion, Henri Fayol's contributions to management theory are timeless and provide a foundation for both classical and modern management practices. His focus on efficiency, leadership, and employee relations continues to guide organizations in today's dynamic and complex business environment.	
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3	a	Though decentralization is a welcome idea for efficient administration of any organization, but it comes with it's own drawbacks. Discuss Decentralization, which involves distributing decision-making authority to lower levels of an organization, offers several advantages, but it also comes with drawbacks that must be managed. Advantages of Decentralization: 1. Faster Decision-Making: Local managers can act quickly without waiting for top-level approval. 2. Flexibility and Adaptability: Regional units can tailor decisions to local conditions. 3. Employee Engagement: Empowering employees enhances motivation and job satisfaction. 4. Reduced Burden on Top Management: Senior leaders can focus on strategy instead of operational decisions. 5. Increased Innovation: Encourages creativity by allowing employees to take initiative. Drawbacks of Decentralization: 1. Lack of Uniformity: Decisions may be inconsistent across departments, causing inefficiency and confusion. 2. Duplication of Efforts: Resources may be wasted if multiple departments independently solve the same problem. 3. Loss of Control: Top management may struggle to maintain coordination and alignment with overall goals. 4. Poor Decision-Making: Lower-level managers may lack the expertise to make optimal decisions. 5. Difficulty Implementing Change: Organization-wide initiatives can be harder to roll out in a decentralized structure. 6. Increased Monitoring Costs: More oversight is needed to ensure accountability and adherence to standards. 7. Internal Competition: Departments may prioritize their own goals over the	(08)
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		organization's, leading to conflict.	
		Conclusion: While decentralization promotes flexibility and responsiveness, its drawbacks, such as inconsistency and loss of control, can hinder efficiency. Organizations often balance decentralization with central oversight to address these challenges effectively.	
	b	In today's business environment, more than any preceding era, the only constant is change. Successful organizations effectively manage change, continuously adapting their bureaucracies, strategies, systems, products, and cultures to survive the shocks and prosper from the forces that decimate the competition. With this context Explain in detail the Strategic Management process. In today's rapidly changing business environment, organizations must continuously adapt to stay competitive. The Strategic Management process provides a framework for managing change and aligning resources to achieve long-term goals. It involves the following key steps: 1. Goal Setting Organizations define their mission, vision, and objectives. This clarifies what the organization aims to achieve and provides a foundation for strategy formulation. 2. Environmental Scanning This step involves analyzing internal and external factors affecting the organization: • Internal analysis (e.g., resources, capabilities, strengths, and weaknesses). • External analysis (e.g., market trends, competitors, opportunities, and threats). Tools like SWOT analysis and PEST analysis help evaluate these factors. 3. Strategy Formulation Based on the analysis, organizations develop strategies to achieve their goals. Strategies can be: • Corporate-level (e.g., mergers, acquisitions). • Business-level (e.g., differentiation, cost leadership). • Functional-level (e.g., marketing, R&D strategies). 4. Strategy Implementation The organization allocates resources, structures teams, and puts policies in place to execute the strategies. Effective communication and leadership are crucial to ensure alignment with the strategic goals. 5. Evaluation and Control	(08)

1. **Specialization:** Each department focuses on its core function, leading to expertise and increased efficiency in handling tasks. For instance, the catering

team can focus solely on delivering high-quality food service, while the sales team concentrates on marketing and attracting guests. 2. Operational Efficiency: Since tasks are grouped by function, resources like staff and equipment are managed effectively within each department, promoting smooth operations and productivity. 3. Clear Chain of Command: The structure has a well-defined hierarchy, making reporting lines clear and ensuring that responsibilities are understood by all employees within their respective functions. 4. Simplified Supervision: The General Manager oversees the department heads, each of whom is responsible for managing their respective functions. This makes supervision more straightforward and reduces the complexity of managing a large operation.
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1. **Lack of Cross-Departmental Communication:** Departments may work in silos, limiting communication and collaboration across functions. For example, the sales team might not fully coordinate with the catering or maintenance teams, causing potential delays or misunderstandings.
2. **Slow Decision-Making:** When decisions require input from multiple departments, the process can become slow due to separate hierarchies and communication barriers.
3. **Conflict of Interests:** Departments may have conflicting goals. For example, the sales department might push for a high volume of events, while the maintenance team might struggle to keep up with the physical demands of frequent event setup.
4. **Limited Flexibility:** Since employees focus on their specific functions, adapting to changing needs or taking on cross-functional roles can be challenging. This structure may inhibit innovation or responsiveness in dynamic market conditions.

The functional organizational structure at the Taj West End Hotel allows for specialization and operational efficiency, ensuring that key functions like catering, reception, and sales run smoothly. However, it requires careful management to avoid silo mentality, communication breakdowns, and slow decision-making across different functions.

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Decentralized decision-making involves distributing authority to lower levels of an organization, allowing those closer to the relevant issues to make decisions. This approach can be highly effective in certain scenarios. Here are two detailed cases where decentralization of decision-making is particularly advantageous:

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1. Multinational Corporations Operating in Diverse Markets

Situation: Multinational corporations (MNCs) operate across various countries with distinct cultural, economic, and regulatory environments. Centralized decision-making from a single headquarters may not be effective due to the need for localized responses and adaptations.

Advantages of Decentralization:

- **Local Adaptation:** Regional managers can tailor strategies to local market conditions, including consumer preferences, cultural norms, and regulatory requirements. This ensures that the company’s offerings are relevant and compliant with local standards.
- **Faster Response:** Decentralized decision-making allows regional offices to swiftly address local issues, such as supply chain disruptions, regulatory changes, or shifts in consumer behavior, without waiting for approvals from the central headquarters.

Example: McDonald’s operates globally with a decentralized approach to its menu and marketing strategies. Regional managers adapt the menu to local tastes (e.g., McSpicy Paneer in India or Teriyaki Burger in Japan) and run localized marketing campaigns. This approach helps McDonald’s maintain relevance and competitiveness in diverse markets.

2. Innovative Technology Companies in Rapidly Changing Industries

Situation: Technology companies, especially those in fast-evolving fields like software development or electronics, face rapid changes in technology and customer preferences. Centralized decision-making can hinder the organization’s ability to innovate and adapt quickly.

Advantages of Decentralization:

- **Encourages Innovation:** Decentralizing decision-making empowers teams and individuals to experiment and implement new ideas quickly. This fosters a culture of innovation, as employees closest to the technology or customer needs can propose and test new solutions.
- **Increases Agility:** Teams can make rapid decisions based on real-time feedback, market trends, or emerging technologies, allowing the organization to stay ahead of competitors and quickly adjust to new opportunities or challenges.

Example: Google uses a decentralized approach for its various product teams. For instance, teams working on Google Search, Google Ads, or Google Cloud have autonomy to make decisions about product features, user interface changes, and development priorities based on their specific goals and user feedback. This structure enables Google to continuously innovate and improve its products.

Conclusion

Decentralized decision-making is beneficial in situations where local adaptation or rapid innovation is crucial. In multinational corporations, decentralization allows for customized strategies and swift responses to local needs. In innovative technology

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		firms, it fosters creativity and agility, enabling rapid adaptation to technological changes and market demands. These approaches enhance overall organizational effectiveness by leveraging specialized knowledge and local insights.	
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5	a	Theory X follows lower order needs and Theory Y follows higher order needs. Elucidate using Maslow's hierarchy of needs theory. Douglas McGregor's Theory X and Theory Y describe two contrasting views on employee motivation and management styles. These theories align with Maslow's Hierarchy of Needs, which categorizes human needs into a hierarchy from basic to higher-level needs. Here's how Theory X and Theory Y relate to Maslow's hierarchy: Maslow's Hierarchy of Needs Maslow's Hierarchy of Needs is a psychological theory that organizes human needs into five levels, arranged in a pyramid: 1. Physiological Needs: Basic needs for survival, such as food, water, and shelter. 2. Safety Needs: Needs related to security, stability, and protection. 3. Social Needs: Needs for social interaction, love, and belonging. 4. Esteem Needs: Needs for self-esteem, recognition, and respect from others. 5. Self-Actualization Needs: Needs for personal growth, self-fulfillment, and reaching one's full potential. Theory X and Theory Y Theory X and Theory Y are two management theories proposed by Douglas McGregor: • Theory X: Assumes that employees are inherently lazy, require close supervision, and are motivated primarily by basic needs. • Theory Y: Assumes that employees are self-motivated, enjoy work, and are motivated by higher-level needs, such as personal growth and achievement. Elucidation Using Maslow's Hierarchy Theory X: Focus on Lower-Order Needs Theory X aligns with the lower levels of Maslow's Hierarchy: 1. Physiological Needs: ○ Assumption: Employees are primarily driven by the need for basic survival and financial stability. ○ Management Style: Managers using Theory X might emphasize wages, job security, and basic working conditions to ensure that employees' basic needs are met. 2. Safety Needs: ○ Assumption: Employees need secure work environments and job stability to	(08)
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b

Discuss the findings of Ohio state studies in reference to this following quotation by Mahatma Gandhi “I suppose leadership at one time meant muscles; but today it means getting along with people”.

Findings of Ohio State Studies in Relation to Gandhi's Quotation

1. Identification of Leadership Dimensions

- **Initiating Structure:** Leaders define and organize tasks, set goals, and clarify roles. This behavior reflects traditional leadership qualities associated with authority and control, aligning with Gandhi’s notion of "muscles."
- **Consideration:** Leaders show concern for employees’ needs and well-being, fostering supportive and empathetic relationships. This behavior aligns with Gandhi’s view of modern leadership as being about "getting along with people."

2. Shift from Authority to Relationship Focus

- **Traditional Leadership (Muscles):** Earlier leadership models often emphasized hierarchical authority and control (initiating structure) to manage tasks and achieve goals.
- **Modern Leadership (People Skills):** The Ohio State Studies highlight the importance of consideration, reflecting a modern shift towards valuing interpersonal skills and supportive relationships over sheer authority.

3. Importance of Balanced Leadership

- **Effective Leadership:** The studies found that effective leaders integrate both initiating structure and consideration. This balance allows for achieving goals while also maintaining positive relationships with team members.
- **Relevance to Gandhi's View:** Gandhi’s quotation is validated by the Ohio State Studies, which show that effective leadership now requires a combination of task management and people-oriented behaviors.

4. Impact on Employee Motivation and Satisfaction

- **Task-Oriented Leadership:** While initiating structure can drive performance and efficiency, it may not be sufficient on its own to motivate and engage employees.
- **People-Oriented Leadership:** Consideration enhances job satisfaction, motivation, and team cohesion, demonstrating that modern leadership involves connecting with and understanding employees.

5. Modern Leadership Practices

- **Emphasis on Consideration:** The studies suggest that leaders who focus on consideration create a more positive work environment, improve employee morale, and are better at fostering teamwork and collaboration.
- **Supporting Gandhi's Perspective:** This modern emphasis on interpersonal skills aligns with Gandhi's view that leadership has evolved to prioritize relational aspects

	over just authority. 6. Application in Contemporary Leadership • Leadership Development: Effective leadership training programs now incorporate both initiating structure and consideration, reflecting the need for leaders to be both task-oriented and people-oriented. • Reflecting Gandhi's Quote: Contemporary leaders are expected to be skilled in managing tasks while also being adept at building relationships and understanding their teams. Conclusion The Ohio State Studies underscore the evolution of leadership from a focus on authority and control ("muscles") to a more balanced approach that values interpersonal skills and employee relations ("getting along with people"). Gandhi's quotation aligns with the findings, emphasizing the importance of both task management and people skills in effective modern leadership.	
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OR

6	a	Explain the three key linkages in expectancy theory and their role in motivation, which affect a worker's level of performance with an example? Expectancy Theory, developed by Victor Vroom, explains how individuals make decisions regarding their level of effort based on their expectations of outcomes. The theory posits three key linkages that affect motivation and performance: 1. Expectancy (Effort-to-Performance Linkage) • Definition: Expectancy is the belief that increased effort will lead to better performance. It reflects the confidence that one's effort will result in improved work outcomes. • Role in Motivation: When employees believe that their effort will lead to successful performance, they are more motivated to put in the effort. If expectancy is high, employees are more likely to be engaged and work hard to achieve their goals. • Example: An employee who believes that working extra hours on a project will lead to a successful outcome and a positive performance review is likely to be more motivated to exert additional effort. 2. Instrumentality (Performance-to-Outcome Linkage) • Definition: Instrumentality is the belief that performing well will lead to specific outcomes or rewards. It reflects the perceived relationship between performance and the rewards or outcomes that follow. • Role in Motivation: If employees believe that high performance will result in desirable rewards, such as promotions, bonuses, or recognition, they are more motivated to perform well. Instrumentality affects how performance is linked to rewards and can drive motivation if the rewards are perceived as valuable. • Example: An employee who knows that exceeding sales targets will result in a	(08)
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(08)

1. Expectancy (Effort-to-Performance Linkage)

- ## 2. Instrumentality (Performance-to-Outcome Linkage)

- **Definition:** Instrumentality is the belief that performing well will lead to specific outcomes or rewards. It reflects the perceived relationship between performance and the rewards or outcomes that follow.
- **Role in Motivation:** If employees believe that high performance will result in desirable rewards, such as promotions, bonuses, or recognition, they are more motivated to perform well. Instrumentality affects how performance is linked to rewards and can drive motivation if the rewards are perceived as valuable.
- **Example:** An employee who knows that exceeding sales targets will result in a

3. Valence (Value of Outcomes)

- ## Integration of the Three Key Linkages

- Employees assess their **expectancy** (will my effort lead to better performance?), evaluate the **instrumentality** (will my performance lead to desirable rewards?), and determine the **valence** (are these rewards valuable to me?).
- Motivation occurs when employees believe that their effort will lead to performance and that this performance will result in valued rewards.

- **Scenario:** A company sets a goal for its sales team to achieve a 20% increase in sales over the next quarter.
- **Expectancy:** The sales team believes that with additional effort, such as more client meetings and follow-ups, they can achieve the sales goal.
- **Instrumentality:** The team knows that achieving the sales target will result in a substantial bonus and a potential promotion.
- **Valence:** The sales team values the bonus and promotion highly, making these rewards appealing.

Conclusion

Expectancy Theory suggests that motivation is influenced by the interplay of expectancy, instrumentality, and valence. Understanding and addressing these key linkages can help managers create an environment that enhances motivation and performance. By ensuring that employees believe their efforts will lead to successful performance, that their performance will result in valued rewards, and that those rewards are desirable, organizations can effectively boost employee motivation and productivity.

b	Exhibit the relationship between task behavior and relationship behavior using Blake & Mouton's managerial grid. Blake and Mouton's Managerial Grid, developed in the 1960s, is a framework that helps assess and categorize leadership styles based on two key dimensions: task behavior and relationship behavior. Here's how the grid exhibits the relationship between these behaviors: 1. Managerial Grid Overview The Managerial Grid is a 9x9 matrix with two axes: • Task Behavior (Concern for Production): This axis measures the degree to which a leader focuses on the task, including planning, organizing, and directing work. • Relationship Behavior (Concern for People): This axis measures the degree to which a leader focuses on interpersonal relationships, including support, motivation, and employee well-being. 2. Key Leadership Styles in the Managerial Grid **1. Impoverished Management (1,1) • Low Task Behavior, Low Relationship Behavior • Characteristics: Minimal effort is put into both task and people management. Leaders are ineffective and disengaged. • Example: A manager who does not set clear goals and does not support or engage with their team. **2. Country Club Management (1,9) • Low Task Behavior, High Relationship Behavior • Characteristics: Focuses on creating a comfortable and friendly environment but neglects task completion and productivity. • Example: A manager who prioritizes employee comfort and satisfaction over achieving performance goals. **3. Task Management (9,1) • High Task Behavior, Low Relationship Behavior • Characteristics: Emphasizes achieving high productivity and meeting deadlines with little regard for employees' needs and well-being. • Example: A manager who enforces strict deadlines and procedures without considering the impact on employee morale. **4. Middle-of-the-Road Management (5,5) • Moderate Task Behavior, Moderate Relationship Behavior • Characteristics: Balances between achieving tasks and maintaining relationships, but may not excel in either area. • Example: A manager who tries to meet productivity targets while providing some	(08)
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	level of support but fails to fully engage either aspect. **5. Team Management (9,9) • High Task Behavior, High Relationship Behavior • Characteristics: Strives to achieve high productivity and employee satisfaction. This style is considered the most effective, as it integrates both task and relationship focus. • Example: A manager who sets clear goals, supports and motivates their team, fosters collaboration, and achieves high performance and employee satisfaction. 3. Relationships Between Task and Relationship Behavior **1. Balancing Act • Integration of Behaviors: Effective leadership involves balancing both task and relationship behaviors. The Managerial Grid shows that leaders who excel in both dimensions (Team Management) are likely to be most successful. • Impact: Leaders who effectively integrate task-oriented and relationship-oriented behaviors can drive high performance while maintaining a positive work environment. **2. Trade-offs and Implications • Neglecting One Dimension: Leaders who overly focus on either task behavior or relationship behavior may achieve suboptimal results. For example, focusing solely on task behavior (Task Management) can lead to employee dissatisfaction, while focusing solely on relationship behavior (Country Club Management) can result in unmet goals and low productivity. • Effective Leadership: The most effective leadership style (Team Management) involves a strategic balance, where leaders ensure that tasks are accomplished while also providing strong support and motivation to their team. Conclusion Blake and Mouton's Managerial Grid demonstrates the relationship between task behavior and relationship behavior through a structured framework. It shows that leadership effectiveness is influenced by how well leaders balance these two dimensions. Achieving high performance and employee satisfaction requires a comprehensive approach that integrates both task and relationship concerns, as exemplified by the Team Management style. Understanding this relationship helps leaders adopt a balanced approach to maximize both productivity and team morale.	
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7	a	Discuss the role of firms in the circular flow model. How do they interact with households? How does the financial sector contribute to the circular flow of income and expenditure Role of Firms in the Circular Flow Model	(08)
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- **Role:** Firms produce goods and services that are sold to households and other businesses.
- **Example:** A clothing company manufactures apparel and sells it to consumers.

- **Role:** Firms compensate households for their contributions to production (labor, land, and capital).
- **Example:** Firms pay wages to employees, rent to landowners, and interest on loans.

- **Role:** Firms invest in capital goods to improve productivity and expand operations.
- **Example:** A technology firm invests in new machinery and software.

- **Exchange:** Households purchase goods and services from firms, providing revenue for firms.
- **Example:** Households buy groceries from a supermarket.

- **Exchange:** Households provide labor, land, and capital to firms, receiving factor incomes in return.
- **Example:** A household member works at a firm, receiving a salary.

- **Function:** Channels savings from households to firms for investment purposes.
- **Example:** Banks collect savings from households and provide loans to businesses.

- **Function:** Provides firms with access to capital for expansion and development.
- **Example:** A firm secures a loan to build a new production facility.

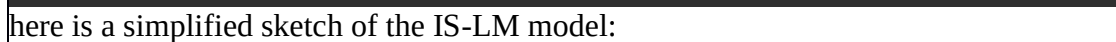
- **Function:** Manages financial risks and supports economic stability through financial products and services.
- **Example:** Insurance companies offer coverage to mitigate business risks.

- **Function:** Offers payment systems and financial services that facilitate transactions between households and firms.
- **Example:** Electronic payment systems enable efficient and secure transactions.

In summary:

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		• Firms produce goods and services, pay for factors of production, and invest in capital. • Households interact with firms through the purchase of goods and services and provide factors of production in exchange for income. • The financial sector supports the circular flow by facilitating investment, managing savings, stabilizing the economy, and enabling transactions.	
	b	With the help of a neat sketch explain the concept of IS-LM model used in Macroeconomics Concept of the IS-LM Model The IS-LM model is a fundamental framework in macroeconomics that illustrates the relationship between the real economy and the monetary sector. It is used to analyze the interactions between the goods market and the money market, determining equilibrium levels of income and interest rates. Here's an explanation with a sketch: 1. IS Curve (Investment-Saving Curve) • Definition: Represents the equilibrium in the goods market where total spending (aggregate demand) equals total output (aggregate supply). It shows the relationship between interest rates and the level of income that ensures equilibrium in the goods market. • Downward Sloping: The IS curve slopes downward, indicating that lower interest rates lead to higher investment and, consequently, higher output/income. Higher interest rates reduce investment and lower output/income. • Shifts: The IS curve shifts due to changes in factors such as government spending, taxes, or consumer confidence. 2. LM Curve (Liquidity Preference-Money Supply Curve) • Definition: Represents the equilibrium in the money market where the demand for money equals the supply of money. It shows the relationship between interest rates and the level of income that ensures equilibrium in the money market. • Upward Sloping: The LM curve slopes upward, indicating that higher income levels increase the demand for money. To maintain equilibrium in the money market, higher income levels lead to higher interest rates. • Shifts: The LM curve shifts due to changes in the money supply or changes in the demand for money. 3. Sketch of the IS-LM Model	(08)



- **Downward Sloping:** Shows the negative relationship between interest rates

- ## 2. LM Curve:

- **Upward Sloping:** Shows the positive relationship between income and

- ## 4. Equilibrium

- **Shifts and Adjustments:**

- **IS Curve Shift:** Caused by changes in fiscal policy (e.g., government

- **LM Curve Shift:** Caused by changes in monetary policy (e.g., changes in the

- **LM Curve Shift:** Caused by changes in monetary policy (e.g., changes in the

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		money supply).	
		Conclusion The IS-LM model helps in understanding how the real economy (goods and services) interacts with the monetary sector (money and interest rates). It provides insights into how changes in fiscal and monetary policies affect overall economic equilibrium, including output and interest rates.	
OR			
8	a	Describe the income approach to measuring GDP. What are the different types of income included in this approach. Also Discuss the role of exports and imports in GDP calculations. How do they impact the overall GDP of a country? Income Approach to Measuring GDP 1. Definition • Concept: Measures GDP by summing all incomes earned by factors of production within a country. • Purpose: Reflects how the economic output is distributed among different income earners. 2. Types of Income Included • Wages and Salaries ○ Definition: Compensation for labor. ○ Includes: Regular wages, salaries, bonuses, and benefits. • Rent ○ Definition: Income from leasing out land or property. ○ Includes: Payments received for the use of physical property. • Interest ○ Definition: Income earned from lending capital. ○ Includes: Interest payments on loans and financial investments. • Profits ○ Definition: Income earned by businesses after deducting expenses from revenues. ○ Includes: Corporate profits, self-employment income, and undistributed profits. • Taxes Less Subsidies on Production and Imports ○ Definition: Net taxes imposed on production and imports minus subsidies. ○ Includes: Sales taxes, excise taxes, customs duties, minus any business subsidies. 3. Role of Exports and Imports in GDP Calculations	(08)

	• Exports (X) ◦ Definition: Goods and services produced domestically and sold to foreign markets. ◦ Impact: Positive. Adds to GDP as it represents income generated from abroad. It increases domestic production and supports economic growth. • Imports (M) ◦ Definition: Goods and services produced abroad and purchased domestically. ◦ Impact: Negative. Subtracted from GDP because they represent spending on foreign-produced goods, reducing the total value of domestic output. 4. Impact on Overall GDP • Exports ◦ Increase GDP: By contributing to the total value of economic output. Higher exports can lead to increased domestic production and job creation. • Imports ◦ Decrease GDP: By reducing the total value of economic output. A higher level of imports relative to exports (trade deficit) can lower GDP and may signal economic imbalances. 5. Conclusion • The income approach to GDP focuses on the distribution of income among various economic agents, including wages, rent, interest, and profits. • Exports and imports, while not directly part of the income approach, significantly influence GDP calculations through the expenditure approach. Exports boost GDP by adding to domestic production, while imports reduce GDP by consuming foreign-produced goods. Understanding these dynamics is crucial for assessing a country's economic health and balance.	
b	Whether the classical growth theory of macroeconomics is relevant in today's economic scenario. Relevance of Classical Growth Theory in Today's Economic Scenario **1. Foundational Principles • Capital Accumulation: Classical theory emphasizes that investment in capital drives growth. Relevance: Investment remains crucial for economic growth, although the focus has shifted towards technology and innovation. • Diminishing Returns to Capital: The theory posits that additional capital yields decreasing returns. Relevance: This principle is still relevant; however, modern economies often need technological advancements to counteract diminishing returns. • Population Growth: Malthusian concerns about population growth outpacing resources. Relevance: Technological advances have mitigated some of these concerns, but challenges related to sustainability persist. • Economic Equilibrium: Assumes economies naturally return to equilibrium where supply equals demand. Relevance: While equilibrium is a foundational concept, real-world economies often experience persistent imbalances due to	(08)

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		market imperfections and external shocks. **2. Modern Adaptations • Technological Innovation: Modern Addition: Endogenous growth theory highlights the role of technological progress and knowledge in driving long-term growth, which classical theory underemphasized. • Human Capital: Modern Addition: Emphasis on education and skills development as crucial drivers of growth. This aspect extends beyond classical theory, integrating human capital into growth models. **3. Policy Relevance • Investment in Capital: Classical theory supports the importance of investment in infrastructure and capital. Relevance: Continued emphasis on infrastructure development, though policy focus now includes technology and human capital investment. • Resource Management: Classical theory’s concerns about resource constraints have evolved. Relevance: Modern policies address sustainability and efficient resource management, reflecting advances beyond classical theory. **4. Economic Dynamics • Market Fluctuations: Classical theory assumes temporary deviations from equilibrium. Relevance: Contemporary economics acknowledges persistent market deviations due to factors such as global trade, financial crises, and policy interventions. **5. Globalization and Innovation • Classical Theory: Largely focused on domestic factors of production. Relevance: Today’s globalized economy and technological advancements necessitate a broader view, incorporating international trade and innovation. **6. Sustainability Concerns • Classical Theory: Did not fully address environmental sustainability. Relevance: Modern growth theories incorporate environmental considerations, reflecting current concerns about sustainable development. Conclusion • Classical growth theory provides foundational insights into capital accumulation, diminishing returns, and equilibrium. However, its relevance today is supplemented by modern theories that emphasize technology, human capital, and sustainability. While classical principles remain important, contemporary economic analysis integrates additional factors to address current global and technological realities.	

9	a	Would you expect supply to play a more significant role in determining the price of a basic necessity like food or a luxury like perfume? Explain Role of Supply in Determining Prices of Basic Necessities vs. Luxuries **1. Basic Necessity: Food • Inelastic Demand: ○ Explanation: Demand for food is generally inelastic, meaning that price changes have a relatively small effect on the quantity demanded. ○ Impact: Consumers will purchase food regardless of price changes, making supply fluctuations more critical in determining price. • Seasonal and Supply Chain Variability: ○ Explanation: Food prices can be significantly affected by seasonal changes, weather conditions, and supply chain disruptions. ○ Impact: Supply shortages due to poor harvests or disruptions can lead to substantial price increases. • Basic Needs: ○ Explanation: Food is a basic necessity, and consumers prioritize its purchase, often spending a significant portion of their income on it. ○ Impact: The supply of food directly influences its price because consumers need to buy it regardless of price changes. • Government Intervention: ○ Explanation: Governments may intervene in food markets to stabilize prices through subsidies or price controls. ○ Impact: Supply issues are often addressed through policy measures, affecting how supply changes influence prices. **2. Luxury: Perfume • Elastic Demand: ○ Explanation: Demand for luxury items like perfume is more elastic, meaning price changes can significantly affect the quantity demanded. ○ Impact: If the price of perfume rises, consumers may reduce their purchases or switch to cheaper alternatives, making supply less critical in price determination. • Brand and Quality Factors: ○ Explanation: Prices of luxury goods are influenced by brand prestige, quality, and marketing rather than just supply. ○ Impact: Supply changes have less impact on luxury prices compared to factors like brand perception and consumer preferences. • Market Positioning: ○ Explanation: Luxury items are often priced at a premium due to their perceived exclusivity and status. ○ Impact: Supply issues might not significantly alter luxury prices because high margins and brand value allow for price flexibility. • Consumer Behavior: ○ Explanation: Consumers of luxury goods may be less sensitive to price changes and more focused on exclusivity and quality. ○ Impact: Supply changes have a lesser effect on luxury prices compared to the	(08)
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Summary

OR

10	a	Compare and contrast elastic, inelastic, and unitary price elasticity's of demand and supply. Provide examples for each. Comparison of Elastic, Inelastic, and Unitary Price Elasticities of Demand and Supply **1. Elastic Demand and Supply • Definition: Elasticity measures how much the quantity demanded or supplied responds to a change in price. Elastic demand or supply means that the response is relatively large compared to the price change. • Demand ○ Elastic Demand: When the percentage change in quantity demanded is greater than the percentage change in price (Elasticity > 1). ○ Example: Luxury goods such as high-end electronics. A small increase in the price of a luxury smartphone can lead to a large decrease in the quantity demanded. • Supply ○ Elastic Supply: When the percentage change in quantity supplied is greater than the percentage change in price (Elasticity > 1). ○ Example: Manufactured goods such as clothing. A small increase in the price	(08)
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	of clothing can lead to a large increase in the quantity supplied because manufacturers can quickly increase production. **2. Inelastic Demand and Supply • Definition: Inelasticity means that the quantity demanded or supplied responds relatively little to changes in price. • Demand ○ Inelastic Demand: When the percentage change in quantity demanded is less than the percentage change in price (Elasticity < 1). ○ Example: Essential medications. A price increase in life-saving drugs will result in only a small decrease in the quantity demanded because consumers need them regardless of price. • Supply ○ Inelastic Supply: When the percentage change in quantity supplied is less than the percentage change in price (Elasticity < 1). ○ Example: Agricultural products like wheat. A price increase may not significantly increase the quantity supplied in the short term due to the time required to grow crops and constraints in production capacity. **3. Unitary Price Elasticity • Definition: Unitary elasticity means that the percentage change in quantity demanded or supplied is exactly equal to the percentage change in price (Elasticity = 1). • Demand ○ Unitary Elastic Demand: The quantity demanded changes by the same percentage as the price change. ○ Example: Certain consumer goods where a 10% increase in price results in a 10% decrease in quantity demanded, such as some household products with close substitutes. • Supply ○ Unitary Elastic Supply: The quantity supplied changes by the same percentage as the price change. ○ Example: Some manufactured goods where a 10% increase in price results in a 10% increase in quantity supplied, reflecting a balanced response to price changes. Summary • Elastic ○ Demand: Large change in quantity demanded for a small price change (e.g., luxury goods). ○ Supply: Large change in quantity supplied for a small price change (e.g., clothing). • Inelastic ○ Demand: Small change in quantity demanded for a large price change (e.g., essential medications). ○ Supply: Small change in quantity supplied for a large price change (e.g., agricultural products). • Unitary ○ Demand: Equal percentage change in quantity demanded and price (e.g.,	
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- **Definition:** Inelasticity means that the quantity demanded or supplied responds relatively little to changes in price.
- **Demand**
 - **Inelastic Demand:** When the percentage change in quantity demanded is less than the percentage change in price (Elasticity < 1).
 - **Example:** Essential medications. A price increase in life-saving drugs will result in only a small decrease in the quantity demanded because consumers need them regardless of price.
- **Supply**
 - **Inelastic Supply:** When the percentage change in quantity supplied is less than the percentage change in price (Elasticity < 1).
 - **Example:** Agricultural products like wheat. A price increase may not significantly increase the quantity supplied in the short term due to the time required to grow crops and constraints in production capacity.

- **Definition:** Unitary elasticity means that the percentage change in quantity demanded or supplied is exactly equal to the percentage change in price (Elasticity = 1).
- **Demand**
 - **Unitary Elastic Demand:** The quantity demanded changes by the same percentage as the price change.
 - **Example:** Certain consumer goods where a 10% increase in price results in a 10% decrease in quantity demanded, such as some household products with close substitutes.
- **Supply**
 - **Unitary Elastic Supply:** The quantity supplied changes by the same percentage as the price change.
 - **Example:** Some manufactured goods where a 10% increase in price results in a 10% increase in quantity supplied, reflecting a balanced response to price changes.

- **Elastic**
 - **Demand:** Large change in quantity demanded for a small price change (e.g., luxury goods).
 - **Supply:** Large change in quantity supplied for a small price change (e.g., clothing).
- **Inelastic**
 - **Demand:** Small change in quantity demanded for a large price change (e.g., essential medications).
 - **Supply:** Small change in quantity supplied for a large price change (e.g., agricultural products).
- **Unitary**
 - **Demand:** Equal percentage change in quantity demanded and price (e.g.,

		some household goods). ○ Supply: Equal percentage change in quantity supplied and price (e.g., certain manufactured goods). Understanding these types of elasticity helps businesses and policymakers predict how changes in price will affect the market and adjust strategies accordingly.	
b		Will the firms in an oligopoly act more like a monopoly or more like competitors? Briefly explain Behavior of Firms in an Oligopoly: Monopoly vs. Competitors **1. Oligopoly Characteristics ● Definition: An oligopoly is a market structure where a few large firms dominate the market. ● Key Features: Interdependence, significant barriers to entry, and the potential for collusion or competition. **2. Behavior Similar to a Monopoly ● Price Setting Power: ○ Explanation: Firms in an oligopoly have some degree of market power to set prices, similar to a monopoly, because their actions influence market prices. ○ Example: If firms in an oligopoly collude or engage in tacit collusion, they can set higher prices, similar to a monopoly. ● Reduced Competition: ○ Explanation: In cases of collusion or coordination, firms may reduce competition and act collectively to maximize joint profits. ○ Example: OPEC's influence on oil prices demonstrates monopolistic behavior in an oligopolistic market by collectively controlling supply. **3. Behavior Similar to Competitors ● Price Rigidity: ○ Explanation: Oligopolistic firms often experience price rigidity due to the kinked demand curve. They may avoid price changes to prevent price wars. ○ Example: In the airline industry, firms may maintain stable prices to avoid retaliatory pricing from competitors. ● Non-Price Competition: ○ Explanation: Firms in an oligopoly often engage in non-price competition through marketing, product differentiation, and customer service. ○ Example: Technology companies competing through innovation and brand differentiation rather than just pricing. ● Strategic Interdependence: ○ Explanation: Firms in an oligopoly are highly aware of each other's actions and strategically adjust their own behaviors in response. ○ Example: If one firm introduces a new product feature, others may follow	(08)

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		suit to maintain competitive parity. Conclusion • More Like a Monopoly: In situations of collusion or coordinated actions, firms in an oligopoly can behave similarly to a monopoly, with the ability to set higher prices and reduce competition. • More Like Competitors: In competitive scenarios, oligopolistic firms may act more competitively, avoiding price changes and focusing on non-price competition due to strategic interdependence and price rigidity. Overall, firms in an oligopoly exhibit a blend of monopolistic and competitive behaviors, depending on the level of collusion and the competitive dynamics in the market.	
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